

Step 1

Decide for how long you want to invest!

Choosing the right fund starts by understanding & deciding for how long you plan to invest your money before you need it. Different funds are suitable for different time periods depending upon their risk and volatility.

Now, let's break down suitable funds according to your investment duration:
Please note these are the minimum time frames you need to invest in the following assets, of course you can invest in them for time durations longer than the ones stated below.

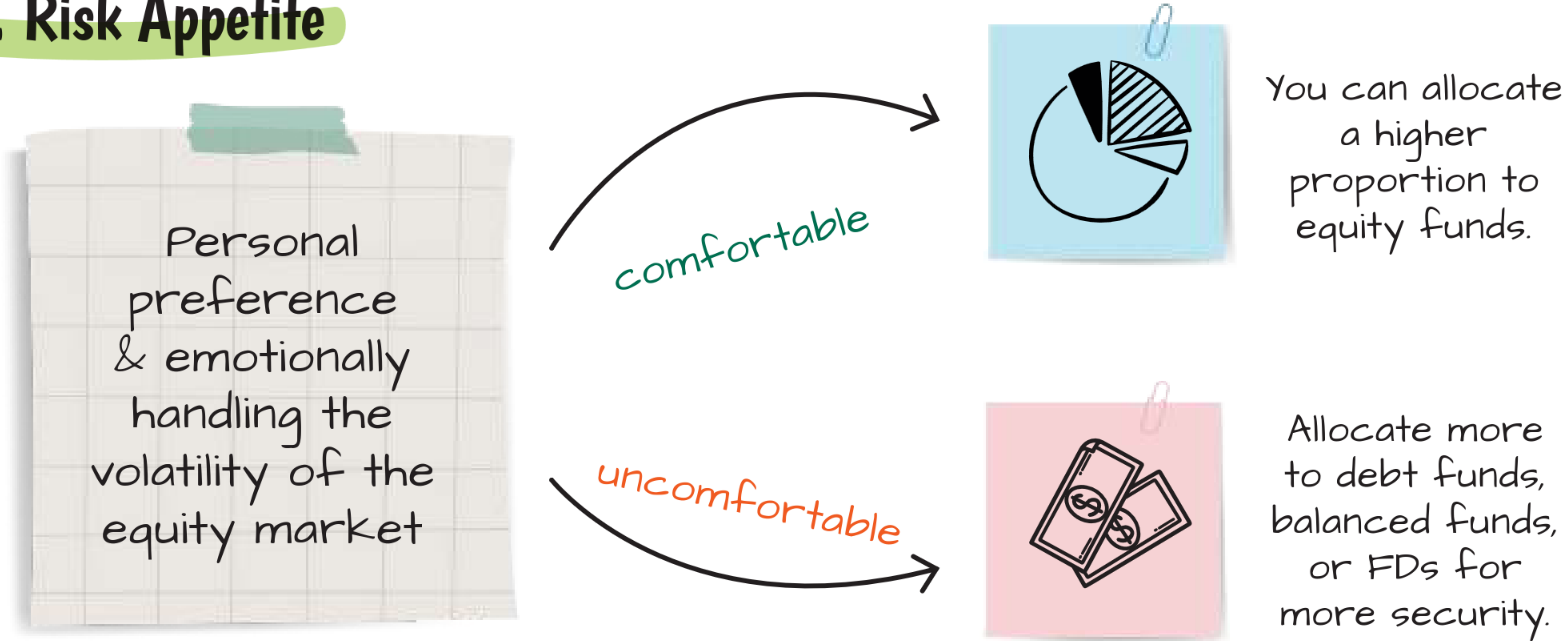
Goals and Time Period	Funds Suitable
1-3 years	Liquid Fund, Arbitrage Fund, Ultra Short Term Debt Fund
3-5 years	Banking PSU Debt Funds Balanced advantage Fund
5-7 years	Nifty 50 ETF, Multicap Funds, Flexi cap Fund, Multiasset Funds
7 years+	Mid cap fund/ Small cap fund

Step 2

Risk Appetite + Risk Tolerance

So, we have decided how long you want to invest & looked into which funds can be suitable according to it. But can you handle the risk it comes with?

a. Risk Appetite



If you are comfortable financially & emotionally handling the ups and downs of the equity market, then you can allocate a higher proportion to equity funds. But if you are not comfortable, then allocate more to debt funds, balanced funds, or FDs for more security.